

**Measure rule, targets.** The measure rule provides a price target to shoot for. It won't guarantee that you'll hit it. To use it, compute the height of the triangle by subtracting the price of the lower trendline from the highest high in the triangle. Then, subtract the height from the value of the lower horizontal trendline (downward breakouts) or add it to the breakout price (upward breakout). The result is the target price.

For example, compute the height of the triangle shown in [Figure 65.5](#) by taking the difference between the highest high and lowest low (marked by the black dots). The value is 1.44 (that is,  $8.82 - 7.38$ ). Subtract the height from the value of the horizontal trendline, or  $7.38 - 1.44$ , giving a target of 5.94. Price reaches the target the day of the breakout.